6

Sequence of Investment Returns

"…The mutual fund I own earned 9% during the last ten years, so I am obviously much better off than my neighbor whose fund only earned 8% over the same period…."

Myth #6

The ancient biblical story of Joseph and Pharaoh tells of a famous dream of the king in which the land of Egypt was prophesized to experience seven years of plentiful harvest and seven years of horrible drought. And as the book Genesis goes on to tell, this scenario actually played itself out over an agriculturally volatile 14-year period. In fact, some biblical commentators claim that in this story, Pharaoh was actually given a choice of which sequence he wanted to experience first, the seven good years or the seven bad years. Like any good decision maker he decided to go with the good years first. According to legend, he, together with Joseph, who was now promoted to the status of prince as his reward for figuring this all out, managed to store enough grain during the seven good years to withstand the devastating impact of the seven years that followed.

This might be a good analogy for what's in store for baby boomers over the next few years, as they transition into the next stage of their life. As these 75 million people approach their retirement years, they will face a similar dilemma although without the legendary choice given to Pharaoh. Given the relevance of this concept, I dedicate this chapter to illustrating precisely how important it is to get the "good" seven years before the "bad" seven years.